CORPORATE LAWS & PRACTICES

Suggested Answers

March-April 2023

Answer to the Question# 1(a) (i)

First, since Rahman Shakil is planning to start the business for his own, the partnership form and limited company form of business will not be suitable for him.

He can explore either the option of proprietorship or the One Person Company (OPC) if the criteria for OPC is meet.

Answer to the Question# 1(a) (ii)

To form OPC, among others, the following criteria should be met-

a. A single ownership which he will be the single director;
b. Minimum requirement of paid-up capital will be BDT 50 lac to the extent of BDT 2 crore; and
c. Turnover for the business shall be not less than BDT 2 crore and more than BDT 100 crore for immediately preceding year.

Since, the criteria (a) and (b) are met and the criteria for business turnover is not met he cannot form OPC right now. In that case, initially, he has only the option to form proprietorship business.

To form proprietorship business, there is no limit for capital of turnover requirement. According to his initial plan of capital and turnover, he may form the proprietorship business having Trade License only.

Answer to the Question# 1(a) (iii)

Assuming that he meets the criteria for formation of OPC, in that case formation of OPC would be beneficial for him in terms of limiting of his liability. In the form of proprietorship business liability of the proprietor is unlimited whereas liability for the director in the OPC is limited to his capital only.

Initially, he should form proprietorship business and subsequently, if the criteria for formation of OPC is met, he can convert/takeover his business into OPC from proprietorship form.

Answer to the Question# 1(b) (i)

Yes, the company can pay back certain portion of equity i.e., paid-up share capital to its parent company. For this, the company can go for Reduction of share capital as per section 59 of the companies Act 1994.

Accordingly, subject to confirmation by the Court, a company limited by shares, if so, authorised by its articles, may by special resolution reduce its share capital in any way, and in particular the company may, as part of this general power either with or without extinguishing or reducing liability on any of its shares, pay off any paid-up share capital which is in excess of the wants of the company

For this a special resolution needs to be passed through a general meeting. Special resolution under this section is in this Act called a resolution or reducing share capital.

As per section 60 of the Companies Act, where a company has passed a resolution for reducing share capital it shall apply by petition to the Court for an order confirming the reduction.

Consequences of the capital reduction:

As per section 61 of the Companies Act 1994, addition to name of company of "and reduced" is required.

On and from the passing by a company of a resolution for reducing share capital, or where the reduction does not involve either the diminution of any liability in respect of un-paid share capital or the payment to any share holder of any paid-up share capital, then on and from the making of the order by the Court confirming by the reduction the company shall add to its name, until such date as the Court may fix, the words "and reduced" as the last words in its name and those words shall until that date be deemed to be part of the name of the company:

Provided that where the reduction does not involve either the diminution of any liability in respect of unpaid share capital or the payment to any shareholder of any paid-up share capital, the Court may, if it thinks expedient dispense altogether with the addition of words "and reduced".

Answer to the Question# 1(b) (ii)

Subject to fulfilling all the formalities under the Companies Act 1994 including permission from the High Court, the other key regulators that may need to be approached is Bangladesh bank for effecting the remittance following the provisions of Foreign Exchange Regulations.

Answer to the Question# 1(c)

A legal personality is what grants a person or organization rights and responsibilities under the law. Since legal systems are built for use by human beings, humans are usually automatically assumed to have a legal personality.

YZ Ltd is a separate legal entity distinct from the individual entity of Mr. Z. In this particular case, the creditor supplied the products to YZ Ltd who is considered as a separate legal person and the supply was not made to Mr Z. Accordingly, the liability of Mr. Z being the shareholders of YZ Ltd for the YZ Ltd's debt is limited to the amount that Mr Z have paid to YZ Ltd for its shares and cannot be held personally liable for the debts of the company.

On the other hand, Mr Z cannot deny his liability being a shareholder of YZ Ltd although his share money was deposited by Mr. Y. In this case the share money deposited by Mr. Y on behalf of Mr. Z is to be considered as a payment for celebrity image, which has been utilized for covering share money deposit by Mr. Z.

The above has been explained below citing a landmark case decision:

A company is defined in section 2(gha) of the Companies Act as a company formed and registered under this Act or an existing company. A company is a legal person with separate legal personality. The Act has therefore given recognition to the fact that a company possess its own legal personality to acquire rights and incur obligations that are distinct from those of the directors and shareholders. This concept of separate legal personality exists from the date and time that the incorporation of a company is registered and from that point, the company will have all the legal powers and capacities of an individual, except to the extent that a juristic person is incapable of exercising any such power or having any such capacity, or except to the extent that the Constitution (MOA & AOA) provides otherwise.

The concept of separate legal personality results in a number of legal consequences for companies which affirm the position that the company and the directors and shareholders are distinguishable from one another. Firstly, separate legal personality results in limited liability in the sense that the liability of shareholders for the company's debt is limited to the amount that they have paid the company for its shares and cannot be held personally liable for the debts of the company. This is confirmed by the provisions of the Act which states that a person is not, solely, by reason of being an incorporator, shareholder or director of a company, liable for any liabilities or obligations of the company, except to the extent that the Act or the MOA and AOA provides otherwise. Another element of separate legal personality is that the property and assets of the company belong to the company and not to the shareholders or directors and following this, the debts and liabilities are that of the company and the shareholders cannot be compelled to pay the debts of the company. Separate legal personality also enables a company to enjoy perpetual succession which means that notwithstanding any changes in membership, the company will retain its legal identity and continue to exist.

Salomon v Salomon was the first case to establish the principle that a company is a separate legal person quite distinct from its shareholders and directors and that because of this, the directors and shareholders cannot be liable for the debts and liabilities of the company. Upon the liquidation of Mr Salomon's validly registered company, of which he happened to be a secured creditor, the liquidator objected to the payment of Mr Salomon and argued that as he owned all but six of the issued shares in the company, he and the company were one and the same person and therefore the debts of the company were his debts. The House of Lords found in favor of Mr Salomon and affirmed the concept of separate legal personality which affords a privilege that enables shareholders and directors to be protected in their personal capacity from any potential liability arising as a result of the actions of the company. This case illustrates the courts reluctance to resort to such a drastic remedy and the importance of upholding separate legal personality.

Answer to the Question# 1(d)

Section 78 of the Companies Act 1994 states that every limited company shall paint or affix, and keep painted or affixed, in letters easily legible and in Bengali or English characters, its name in a conspicuous position on the front side of every office or place in which its business is carried on. So, registered Office address in the metal board must be changed and on 11th floor there must be some signboard on the front side of ZED Trading Ltd. Moreover as per sec. 77, notice of the situation of the registered office and of any change therein shall be given within twenty-eight days after the date of the incorporation of the company or

of the change, as the case may be, to the Registrar who shall record the same. Here, the ZED Trading Ltd has violated the section 77 and 78 and are punishable u/s 77 and 79.

Answer to the Question# 2(a) (i)

Bangladesh Securities and Exchange Commission (BSEC) vide its Bangladesh Securities and Exchange Commission (Public Issue) Rules, 2015 as amended has advised the criteria for applying under the method the company can apply for the Initial Public Offer (IPO).

Among others, the financial requirement under 'Fixed price' method are applicable for XYZ Ltd. as follows-

(i) ifithasbeenincommercialoperationhavingpositivenetprofitafter taxat leastfor thelatestfinancialyear;or

(ii) it offers at least an amount equivalent to 10% (ten percent) of itspaid-up capital or Tk. 30 (thirty) crore at par value, whichever ishigher:
Provided that post IPO paid-up capital shall not be less than Tk. 50(fifty)crore;and

(iii) ithasminimumexistingpaid-up capitalofTk.15(fifteen)crore.

Among others, the general requirement under 'Book Building method' are applicable for XYZ Ltd. as follows-

(i) it has been in commercial operation at least for preceding 3 (three)years;
(ii) it has made net profit after tax at least for immediate preceding2 (two)financialyears;
(iii) it has positive net operating cash flow at least for immediate preceding2 (two)financialyears;
(iv) itintendstoraiseatleastTk.75(seventy five)crorethroughthe public issue;and
(v) ithasminimumexistingpaid-up capitalofTk.30 (thirty)crore.

Since the company has positive net operating cashflow immediate proceeding 2 years, we assume that the operating cashflow will also be positive. In that case, company can apply for the IPO under any method they wish to apply.

But form the overall historical financial performance, company may go for fixed price method.

Answer to the Question# 2(a) (ii)

As required by the rules, minimum issue size shall be determined as follows-

it has to make public offer for such an amount so that the post-initialpublicoffer (IPO)paid-up capitalisincreasedbyasfollows:

(i) atleast30%(thirtypercent),ifthepost-IPOpaid-upcapitalislessthanor equaltoTaka 75 (seventyfive)crore;
(ii) at least 20% (twenty percent), if the post-IPO paid-upcapitalis more than Taka 75 (seventy five) crore, but not more thanTaka150(onehundredfifty)crore; and
(iii) at least 10% (ten percent), if the post-IPO paid-up capital ismorethanTaka 150crore.]

Accordingly, in either method, the company shall offer at least 10% of its paid-up capital is more than Taka 150 crore. So, minimum issue will be-

Particulars	**Taka**
Paid up capital	47,141,400,000
Minimum IPO size (10%)	5,237,933,333

XYZ Ltd. may make private offer to its employees or any other persons maximum 15% (fifteen percent) of its initial public offer (IPO) at par value under the fixed price method or at fair value under the book-building method, which shall be treated as a part of the IPO:

Provided that no collection of subscription or allotment of shares shall be made under private offer before the Commission's consent for such IPO.

As per Income Tax Ordinance, 1984, the maximum size of Private placement will be 5% in order to avail corporate tax @40%.

Particulars	**Taka**

Pre-IPO Paid up capital	47,141,400,000
Maximum Private placement @5%	2,357,070,000

Answer to the Question# 2(a) (iii)

Distribution of securities under fixed price method (excluding the portionofsecuritiesunderprivate offer, ifany):

Particulars	Eligible Investor (EI)		General Public (GP)		Total
	Other EIs (including CISs)	Mutual Funds	NRB	Others	
Percentage	20%	5%	5%	70%	100%
No. of Shares	1,047,586,666	261,896,667	261,896,667	3,666,553,333	5,237,933,333

Answer to the Question# 2(a) (iv)

Under Fixed price method, issue price shall be book value of shares i.e. Taka 10 per share.

Under the Book Building method, a cut off price will be determined through bidding by eligible investors. And offer to be made to general investors at 10% discount over cut-off price.

Answer to the Question# 2(a) (v)

Lock-in period shall be as follows from the first day of trading of shares at the exchanges-

Sl. No.	Particulars	Period of lock-in
a	Shares held by sponsors, directors and shareholders holding 10% (ten percent) or more	3 years
b	In case, any existing sponsor or director of the issuer transfers any shareto anyperson,those transferred shares	3 years
c	Shares allotted to any person, before 4 (four) years or more of according consent to the public issue, other than the persons mentioned in clauseand (b)	1 year
d	Sharesheldbyalternativeinvestmentfundsorbyforeign investors	1 year
e	Sharesheldbyanyperson,otherthanthesharesmentionedinclause(a),(b),(c) and (d)above	2 years
f	General public	Nil

Answer to the Question# 2(b) (i)

Bangladesh Securities and Exchange Commission (BSEC) has issued a directive No. BSEC/CMRRCD/2006-158/208/Admin/81 dated 20 June 2018 on preparation of financial, audit thereon and some other required disclosures in financials for the listed companies.

ABC PLC being a listed company, annual financial statements of the company shall be audited within 120 (one hundred and twenty) days from the date on which the company's financial year ends and a copy of such audited financial statements shall be submitted to the Commission and the stock exchange within fourteen days thereof.

Provided further that on an application filed by the company under rule 12(3A) of the Securities and Exchange Rules, 1987, the Commission may, on good cause shown and only under extreme circumstances, extend the time for auditing the annual financial statements or submission of the annual financial statements to the Commission, as he case may, as it deems fit.

Answer to the Question# 2(b) (ii)

ABC PLC shall notify the Commission and the stock exchange in advance the date and time of its board of directors' meeting specially called for consideration or adoption of its annual audited financial statements

and for declaration of any entitlement for the shareholders before 7 (seven) days of holding such meeting i.e. within 24 May 2023.

The board of directors of the company, while considering or adopting annual audited financial statements shall, in the same board of directors' meeting, declare-

- ✓ Net Asset Value (NAV) per share;
- ✓ Earnings per share (EPS); and
- ✓ Net Operating Cash Flows Per Share (NOCFPS).

The company shall also fix the date of the relevant Annual General Meeting (AGM) and take specific decisions with regard to:

(a) recommending or not recommending dividend for the shareholders on the basis of said financial statements; and

(b) the shareholders who shall be entitled to such dividend, if recommended.

Answer to the Question# 2(b) (iii)

As per Bangladesh Securities and Exchange Commission (BSEC) directive No. BSEC/CMRRCD/2096-193/08 dated 10 March 2021, the company shall hold its AGM using Hybrid system in combination of physical presence of shareholders at the venue of general meeting and presence or connection of shareholders by using digital platform or online platform ensuring, among others, voting manner and other rights of shareholders.

Voting on the agenda shall be in the following manners-

- ✓ Company shall notify shareholders the address of the meeting venue and weblink for joining the meeting or e-voting through online platform or system of digital platform with intimation to the commission and exchanges as applicable;
- ✓ Voting shall be on every agenda presented in the meeting;
- ✓ System shall have pre-registration facility for attendance of shareholders, casting votes;
- ✓ E-voting option shall be opened at least 24 hours but not exceeding 72 hours prior to start of the general meeting;
- ✓ There shall be one-way live streaming of the proceeding of general meeting;
- ✓ The due process of election and detailed information of voting results shall be authenticated by concern stock exchange or by an independent scrutinizer;
- ✓ Such authentication report shall be submitted to the commission within 48 hours of conclusion of general meeting.

Answer to the Question# 3

Comments based on the provision of Bangladesh Labour Rules 2015:

As per Rule 263 of the Bangladesh Labour Rules 2015, any member leaving the company is eligible for getting both employer and own contribution, if he/she completes 2(two) years from the date joining. Here date of confirmation will not be counted.

- Hence, in case of Mr. Tratul he will be entitled to get both employer and own contribution of Tk.360,000 as he has completed 5 years 5 months from the date of joining
- However, in case of Mr. Nihan, since he has not completed two years of employment from the date of joining, Mr. Nihan will be entitled to get only his own contribution of Tk. 30,000 only and the rest Tk. 30,000 will be forfeited

Comments based on the provision of Financial Reporting Act 2015:

- As per notification issued by Financial Reporting Authority (FRA) dated 7th July 2020, it will intervene on the allocation of Forfeiture Account to the existing members.
- Hence, we will discuss about the amount to forfeited on account of company's contribution for Mr. Nihan i.e., Tk. 30,000
- Based on the above-mentioned circular, FRA has clarified that no amount lying under forfeiture account should be allocated to the existing members, hence the Trust cannot take any such resolution

FRA further instructed, any such amount lying under forfeiture account should be returned to the PIE (in this case Planet Ltd), which the PIE should show as other income in its financial statement.

Answer to the Question# 4(a)

As mentioned, ABC Bank Limited being a listed bank operating in Bangladesh, its shall be govern by both Companies Act, 1994 and Bank Companies Act, 1991 as amended.

Before initiating the process of changing name as per company's act, the bank should get No Objection Certificate (NoC) from Bangladesh Bank in this regard as per section 116 of the Bank Companies Act, 1991. Bank should follow the following order-

- ✓ Approval from the Board that the name of the Company Shall be " ABC Bank PLC" in compliance with section 11Ka, Companies Act, 1994;
- ✓ With the copy board resolution shall apply to Bangladesh Bank for obtaining NoC;
- ✓ Bank shall also apply to Registrar of Joint Stock of Companies and Firms (RJSC) for consent of new name;
- ✓ Having NoCs, bank shall place this proposal to the shareholders in the general meeting. Such meeting might be Annual General Meeting or Extra- Ordinary General Meeting as special business resolution;
- ✓ Having approval by the shareholders as "Special Resolution", bank shall apply to RJSC for amendment in memorandums and for issuing "Certificate of Incorporation" in new name;
- ✓ Having new certificate of Incorporation, shall notify Bangladesh Bank and Bangladesh Bank shall issue a circular in this regard.
- ✓ Bank shall also make adequate communication and amend the required documents as appropriate.

Answer to the Question# 4(b)

ABC PLC has been operating having license from Bangladesh Bank under Banking Companies Act, 1991 as amended. In compliance with the act bank has already formed 3 sub-committees of the Board for ensuring good governance as well to mitigate the risk.

Simultaneously, being a listed bank, the bank should follow Bangladesh Securities and Exchange Commission (BSEC) regulation. Moreover, as per BSEC circular, no Rights offer will be approved if the bank is non-compliant with any CGC.

Since, it is issues relating to the regulators, Bank should address this issue in writing through banking association with both regulators, Bangladesh Bank and BSEC.

Proof of such communication shall be shared with the CGC auditors for their information. Bank has nothing to do unless a clear and common notification comes from both the regulators.

Answer to the Question# 5(a) (i)

As per Bangladesh Bank BRPD Circular letter reference no: 15 dated 11 May 2022 under the subject matter- "Some restrictions imposed to ensure discipline in "banking operation and management", Bangladesh Bank has restricted to appoint any Chairman of the Board or Executive Committee or Audit Committee or Risk Management Committee of the bank to be appointed as a board member of any Subsidiary Company or Foundation of the said bank.

Answer to the Question# 5(a) (ii)

As per Bangladesh Bank BRPD Circular letter reference no: 48 dated 07 December 2022, for the use of Chairman of the Board and the Managing Director, bank can replace their existing vehicles after 5 years. So, the proposal is not valid.

Answer to the Question# 5(a) (iii)

As per Bangladesh Bank BRPD Circular letter reference no: 04 dated 06 February 2023 under the subject matter- "Preservation of Audited Financial Statements in the loan file"; to strengthen the economic activities in the country in the backdrop of present world economy, Cottage, Micro, Small Industries which have

fallen within the meaning of public Interest Entity as per section 2(8) of Financial Reporting Act 2015- shall mandatorily preserve Audited Financial Statements and Statutory Audit Report in the loan file w.e.f 1st January 2025 instead of 1st January 2023.

Answer to the Question# 5(a) (iv)

As per Bangladesh Bank DOS (Department of Offsite Supervision) Circular reference no: DOS(RMMCMS)1154/161/2022-6367 dated 19 December 2022; the bank shall bring down the capital market exposure limit to 25% (maximum) to comply with the section 26 (KA) of banking Company Act 1991 by 31st December 2023.

Answer to the Question# 5(b)

On 15 February 2022 vide DFIM Circular No. 03 has clarified the types of investments that will be considered as capital market exposure of the FI.
As per the circular, the following investments will be considered as capital market exposure-

The FI has the following investments		**BDT**
b	Investment in non-marketable ordinary shares	17,863,990
c	Investment in preference shares	111,958,000
d	Investment in debenture and bonds	176,932,569
f	Investment in marketable securities	1,751,613,575
g	Investment in open end mutual fund	405,546,808
h	Loan to subsidiaries	17,583,692
	Total	**2,481,498,634**

Particulars	**BDT**
Total equity	17,505,588,780
25% of equity	4,376,397,195
Exposure as % of equity	14.18%

It shows that capital market exposure is 14.18% which is within the limit.

Answer to the Question# 6(a)

Surrender value under life insurance policy is the amount the policyholder will get from the life insurance company if he decides to exit the policy before maturity. Whether Mr. A will be eligible for surrender value upon exiting the policy that will depend on what types of policy and what conditions are there in relation to surrender value as there could be various types of surrender value conditions.

Answer to the Question# 6(b)

Group Insurance Premium matter:
Comparative position:

Particulars	Company A (Rate/000)Tk.	Company B (Rate/000)Tk.
Gross premium	8.50	9.00
Retention (A: 20%; B: 30%)	1.70	2.70
Net premium after retention	6.80	6.30
Profit bonus after retention (A: 70%; B: 75%)	4.76	4.73
Effective premium rate	2.04	1.57

Based on the above calculation, it is clear that Z Ltd should go for company B, as effective premium cost is lower Tk. 1.57/000 for company B compared to Tk. 2.04/000 calculated for company A.

Answer to the Question# 7(a) (i)

As per newly inserted Rule 39A of the Bangladesh Labour Rules 2015, maternity benefit has to be calculated in the following manner:

For the purpose of calculating the maternity benefit u/s 48(2) of the Bangladesh Labour Act 2006, the last drawn monthly salary shall be divided by 26 in order to determine the average wage of 1(one) day.

Accordingly, as per the company policy, the maternity benefit amount following the method prescribed in the law shall be as follows:

Last drawn monthly salary: Tk. 26,000

Average wage for one day = 26,000/26 = 1,000

Total maternity benefit = 24 x 7 x 1,000 = Tk. 168,000

Answer to the Question# 7(a) (ii)

As per section 46(1) of the Bangladesh Labour Act 2006, the minimum maternity benefit to be paid is 16 weeks leave with wages. Hence the maternity benefit amount as per the law will be as follows:

Average wage for one day = 26,000/26 = 1,000

Total maternity benefit = 16 x 7 x 1,000 = Tk. 112,000

So, the amount paid by the company as maternity benefit is well above the amount prescribed under the law.

Answer to the Question# 7(b)

Yes, as per labor law regulation the company is not non-compliant.

As per section 3 of the Labor Act, 2006, employment and all other related issues shall be governed by the act.

However, any company may have its own regulation in terms of labor issues. But such regulation shall not be less beneficial to the employees.

Accordingly, ABC PLC has deducted higher amount than prescribed by the law and at the same time company is contributing the same to the fund which is managed by a separate trustee board.
Since, employees are getting higher benefits, it is not prohibited by law.

---The End---